

25 Aug 2026 13:28:53 ET | 12 pages

Chroma ATE (2360.TW)

Chroma Plans 13.6mn Share GDR Issuance; Dilution Manageable with Long-Term Upside Potential

CITI'S TAKE

Chroma ATE announced today after market close its plan to issue up to 13.6mn new shares through GDR. The proceeds will be used for overseas operation expansion and overseas material procurement. At today's closing price of NT\$1,965, we estimate the additional 13.6mn shares could raise NT\$26.7bn in funding. The Board will hold an EGM on October 20th to decide the proposed GDR issuance. Chroma shares fell as much as 9% on August 25th likely due to investor concerns of potential share dilution (~3% EPS dilution) and GDR price discount. That said, we view the 3% dilutive impact as modest and manageable. Chroma's order outlook remains robust while its production capacity remains tight. Additional funding for overseas expansion could help the company better capture future growth opportunities longer term. Chroma remains one of the key testing solution providers supporting the global AI expansion. Maintain Buy and NT\$2,500 TP.

Buy

Price (25 Aug 26 13:30)	NT\$1,965.00
Target price	NT\$2,500.00
Expected share price return	27.2%
Expected dividend yield	1.0%
Expected total return	28.2%
Market Cap	NT\$835,608M
	US\$26,240M

Kevin Chen^{AC}

+852-2501-2125
kevin.y.chen@citi.com

Kyna Wong

kyna.wong@citi.com

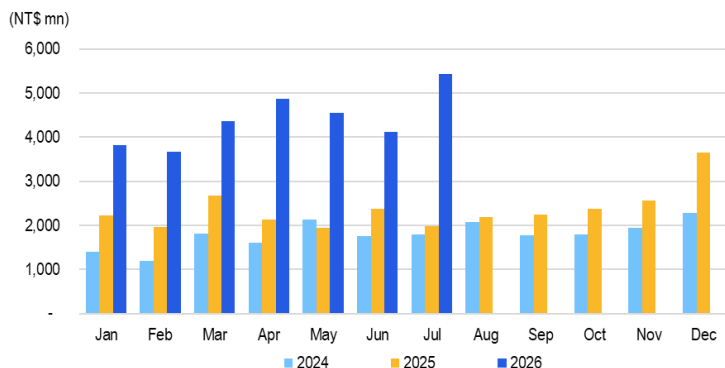
Karen Huang

karen.xw.huang@citi.com

Yiming Li, CFA

yiming.li@citi.com

Figure 1. Chroma ATE – Monthly Revenue Trend

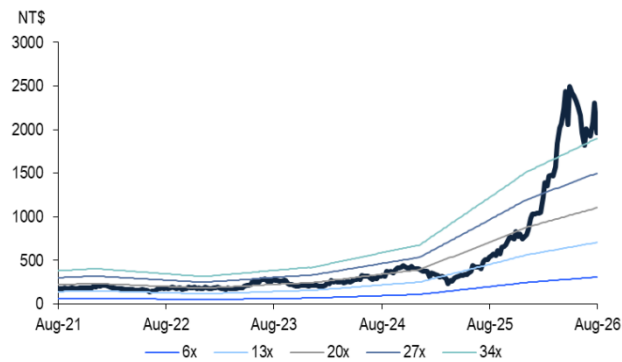


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Source: Company Reports, Citi Research

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Figure 2. Chroma ATE – 12M Fwd. P/E Band



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Figure 3. Chroma ATE – 12M Fwd. P/E Chart



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Bull/Bear: Chroma ATE

NT\$ **3,135.00**
▲ 60% Upside

NT\$ **2,500.00**
▲ 27% Upside

NT\$ **1,370.00**
▼ 30% Downside



Spread 90pp
Current Price and expected returns (upside/downside) as of 25 Aug 2026

BULL Assumptions

- Revenue growth to NT\$57bn/75bn in 2026E/27E
- Net profit growth to NT\$21.1bn/29.5bn in 2026E/27E
- Valuation re-rating to 45x 2027E P/E

BASE Assumptions

- Revenue growth to NT\$52bn/69bn in 2026E/27E
- Net profit growth to NT\$18.8bn/26.5bn in 2026E/27E
- Valuation re-rating to 40x 2027E P/E

BEAR Assumptions

- Revenue growth to NT\$50bn/65bn in 2026E/27E
- Net profit growth to NT\$17.5bn/24.3bn in 2026E/27E
- Valuation re-rating to 25x 2027E P/E

Chroma ATE

Valuation

Our target price of NT\$2,500 is based on 40x 2027E P/E, at close to 1x PEG. Chroma shares have re-rated above its historical range as its growth outlook is now strongly tied to AI infrastructure build out. We estimate 60%+ of its revenue are now AI-related, with strong growth across product segments including power testers, SLT, metrology, and photonics. Chroma has a commanding market share in most of these segments and well positioned to capitalized on the global AI expansion.

Risks

Downside risks to our target price include: 1) softer AI/CPO growth expectation due to changes in capex outlook or production bottleneck; 2) fewer SLT needed as a result of shortened cycle time as GPU yield rate improves; 3) disappointing metrology shipment due to changes at ramp-up schedule; 4) testing process change leading to loss in market share; 5) FX risks (50-60% of Chroma's sales are in US\$, 10-20% in Rmb).

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Appendix A-1

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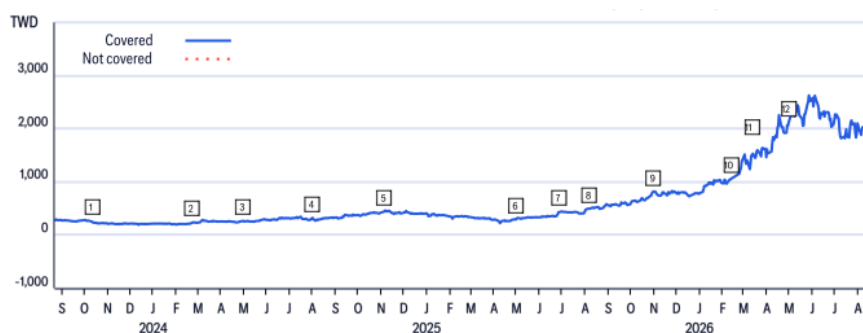
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Chroma ATE (2360.TW)

Ratings and Target Price History Fundamental Research

Analyst: Kevin Chen



	Date	Rating	Target Price	Closing Price
1	11-Oct-23 14:29:57	1	*330.00	253.00
2	21-Feb-24 11:50:58	1	*280.00	227.50
3	30-Apr-24 13:48:08	1	*320.00	266.50
4	31-Jul-24 15:19:03	1	*360.00	301.00

*Indicates Change

	Date	Rating	Target Price	Closing Price
5	04-Nov-24 17:53:01	1	*500.00	437.00
6	30-Apr-25 14:29:54	1	*425.00	292.50
7	29-Jun-25 19:17:54	1	*500.00	429.50
8	06-Aug-25 09:55:28	1	*550.00	494.50

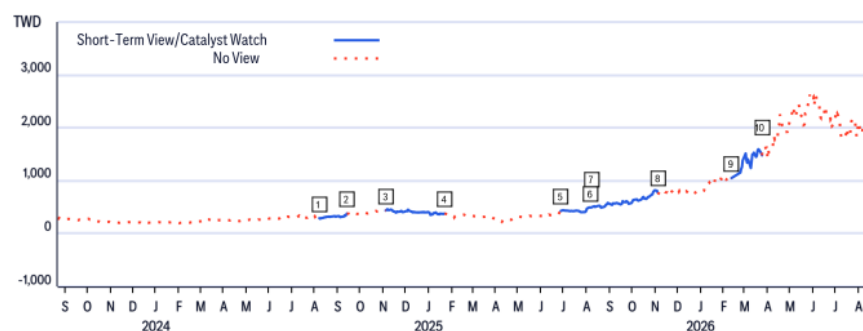
	Date	Rating	Target Price	Closing Price
9	30-Oct-25 18:40:38	1	*900.00	804.00
10	22-Feb-26 19:26:56	1	*1,200.00	1,050.00
11	11-Mar-26 02:42:34	1	*1,650.00	1,495.00
12	03-May-26 18:43:42	1	*2,500.00	2,120.00

Rating/target price changes above reflect Eastern Time

Chroma ATE (2360.TW)

Short-Term View/Catalyst Watch Research

Analyst: Kevin Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	07-Aug-24 18:28:11	Add CW	Upside	90 Days	292.00
2	13-Sep-24 00:34:47	Remove CW	Upside	90 Days	380.00
3	04-Nov-24 12:53:01	Add STV	Upside	90 Days	437.00
4	02-Feb-25 19:44:53	Remove STV	Upside	90 Days	379.50

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
5	29-Jun-25 15:17:54	Add STV	Upside	90 Days	429.50
6	06-Aug-25 05:55:28	Remove STV	Upside	90 Days	494.50
7	06-Aug-25 05:55:28	Add CW	Upside	90 Days	494.50
8	04-Nov-25 19:35:17	Remove CW	Upside	90 Days	776.00

	Date	Action	Expected Direction	Duration	Closing Price
9	22-Feb-26 14:26:56	Add CW	Upside	30 Days	1,050.00
10	24-Mar-26 21:33:21	Remove CW	Upside	30 Days	1,480.00

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
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% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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